

Tesla, Inc.
TSLA NASDAQ

Hold \$342.27 ▲ 0.68% 12M Price Target \$380.00 52-Week Range \$297.38 – \$498.83

Market Cap
\$1.35T

TSLA: Grinding Higher on SpaceX Halo and EV Bottom Hopes

WHAT HAPPENED

- TSLA is up modestly again (+0.68%) and has quietly rallied ~3.5% off last week's lows on two things: Bernstein calling a bottom in the US EV market, and a Barron's piece pointing out that TSLA increasingly trades as a proxy for privately-held SpaceX (Musk halo effect). That matters because it means the stock is being repriced as an AI/space/robotics conglomerate, not a car company — which is exactly the narrative bulls need.
- Cathie Wood's ARK reportedly bought ~450K shares in 45 days, and options flow is screaming bullish — put/call ratio of 0.51 (meaning almost 2x as many bullish call bets as bearish put bets) with massive unusual call buying at the \$340-342.50 strikes. Someone with real money is betting on a near-term pop.

WHY IT MATTERS

Here's what this really means: the stock sits at just 22% of its 52-week range (\$297-\$499), so we're closer to the lows than the highs — that's why the tape feels heavy even on up days. The bullish setup is that if EV demand really has bottomed (Bernstein's call), Q3 delivery numbers in early October become a huge upside catalyst because expectations are on the floor. But here's the uncomfortable truth: the Trump administration's One Big Beautiful Bill killed the \$7,500 federal EV tax credit as of September 30, 2025, and we're now nearly a year into that headwind — so any "bottoming" story has to survive without government subsidy support. The bull case is now almost entirely dependent on Robotaxi scaling (Austin/Bay Area expansions) and Optimus, not car sales.

POLICY & POLITICAL WATCH

The big overhang: the EV tax credit is gone, CAFE fuel economy penalties were zeroed out (hurts Tesla's regulatory credit revenue, which was ~\$2B/year of pure profit), and California's EV mandate waiver was revoked. That's a triple headwind that Wall Street is still digesting. On the flip side, the administration's push on AI deregulation and autonomous vehicle federal preemption (overriding state-by-state robotaxi rules) is a MASSIVE tailwind for TSLA's Robotaxi rollout — watch for any NHTSA framework announcement, which could unlock nationwide deployment and add real value overnight.

IS IT EXPENSIVE?

TSLA trades around 159x forward earnings — meaning investors are paying \$159 for every \$1 of expected profit next year, versus ~8x for Ford and GM. That's not a car valuation; it's a bet that Optimus and Robotaxi become real businesses. The valuation is only defensible if you believe the AI/robotics story — if this ends up being "just" a car company in 2027, the stock is worth closer to \$150, not \$340.

WHAT COULD GO WRONG

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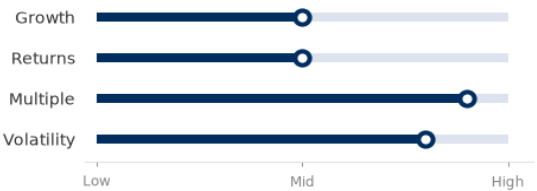
AI-Generated Pre-Market Brief | 2026-08-17 13:20 UTC

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Key Data

Price (USD)	\$342.27
12M Price Target	\$380.00
Upside / (Downside)	+11.0%
Market Cap	\$1.35T
FY2026E Revenue	\$108M
FY2027E Revenue	\$132M
FY2026E EPS	\$2.15
FY2027E EPS	\$3.10
Fwd P/E	159.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$375.00	\$350.00	\$315.00
6 Months	\$430.00	\$370.00	\$290.00
1 Year	\$500.00	\$380.00	\$260.00
2 Years	\$620.00	\$420.00	\$230.00
5 Years	\$900.00	\$500.00	\$200.00
10 Years	\$1500.00	\$700.00	\$180.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+7.67% over 5 days) is on fire — oil prices firming plus data center power demand story. Utilities also up on the AI-power thesis (data centers need electricity).

COOLING OFF: Materials is negative on the week; traditional cyclicals are being ignored as capital concentrates in AI/energy.

ROTATION WATCH: Money is flowing into the "AI physical infrastructure" trade — power, cooling, chips — which is a second-derivative bet on the same trends driving TSLA's Optimus/Robotaxi thesis. TSLA benefits indirectly because it validates the "AI is real" narrative that supports its multiple.

RELATED PLAY: If you like the TSLA autonomy story but hate the valuation, look at Mobileye (MBLY) or the LiDAR names — cheaper ways to play autonomous driving. If you like the Musk halo, watch anything with SpaceX exposure like Alphabet (GOOGL) and Nvidia (NVDA), which just got named as top SpaceX shareholders in today's news.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the king of the AI trade, and now a disclosed SpaceX shareholder — reinforces the Musk-ecosystem premium.
- GOOGL (Alphabet): Also a top SpaceX holder; benefits from the same AI infrastructure buildout narrative.

TSLA CONTEXT: TSLA is LAGGING the Mag 7 badly this year — at 22% of its 52-week range while NVDA and GOOGL trade near highs. That tells us either (a) TSLA is the cheap catch-up trade if AI keeps ripping, or (b) the market has real concerns about auto fundamentals that aren't going away. Cathie Wood is betting on (a). I'd wait for Q3 deliveries before making that call.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$310-325 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Robotaxi rollout delays past 2027 or auto gross margin dips below 15%

Hedging: Buy protective puts 10% out of the money, or pair with a short position in a pure-play legacy automaker